CAPITAL IMPROVEMENT PLAN

Stonebridge Marketplace | Portland, OR

Property	Stonebridge Marketplace
Plan Date	May 9, 2024
Prepared For	Keel & Compass Properties
Total Plan Budget	$285,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Interior	10/28/23	Q4 2026	$12,000	$9,297	Approved
Landscape / irrigation	Interior	03/05/25	Q1 2025	$551,000	$578,018	Deferred
Parking lot resurfacing	Life Safety	05/27/23	Q3 2027	$751,000	$340,132	Approved
Pool resurfacing	Interior	12/17/25	Q3 2027	$436,000	$334,136	In progress
Storefront glazing	Site	01/20/23	Q2 2027	$636,000	$451,096	Deferred
Water heater replacement	Energy	04/20/26	Q4 2027	$564,000	$11,032	Approved
Fire alarm panel upgrade	Site	06/12/26	Q3 2025	$791,000	$9,264	Complete
Fire alarm panel upgrade	Building	12/30/24	Q4 2027	$240,000	$83,871	Approved
Door hardware	Site	08/10/26	Q4 2025	$669,000	$388,712	Complete
Exterior paint	Energy	05/09/23	Q1 2026	$50,000	$43,782	Bidding
Pool resurfacing	Building	03/01/24	Q4 2025	$808,000	$384,975	Complete
Roof replacement - Bldg C	Building	07/12/23	Q2 2025	$81,000	$36,258	Bidding
Amenity renovation	Interior	12/03/24	Q2 2027	$183,000	$35,349	Bidding
Signage / monument	Interior	12/21/26	Q2 2025	$145,000	$783	Deferred
Fence replacement	Energy	03/26/24	Q4 2027	$31,000	$31,013	Approved
Lobby renovation	Energy	10/29/23	Q4 2026	$774,000	$484,828	Bidding
HVAC replacement	Interior	10/01/23	Q2 2027	$600,000	$259,155	Bidding
Roof replacement - Bldg B	Building	09/16/26	Q4 2027	$683,000	$421,880	Bidding
Lobby renovation	Life Safety	02/15/24	Q4 2025	$58,000	$28,635	In progress
Door hardware	Site	11/14/23	Q1 2026	$817,000	$65,076	Bidding
Water heater replacement	Life Safety	06/10/23	Q2 2025	$57,000	$36,703	In progress
Elevator modernization	Energy	07/28/26	Q4 2026	$106,000	$15,794	Complete
HVAC replacement	Energy	06/25/24	Q3 2025	$860,000	$259,932	Deferred
Parking lot resurfacing	Building	08/02/24	Q3 2025	$331,000	$179,869	Bidding

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Exterior paint	Building	12/08/26	Q2 2026	$452,000	$314,528	Complete
Pool resurfacing	Energy	05/09/24	Q2 2026	$260,000	$258,391	Bidding
Fire alarm panel upgrade	Energy	06/07/26	Q2 2025	$471,000	$57,847	Approved
Unit interior upgrades	Energy	03/28/24	Q2 2027	$648,000	$503,304	Approved
Lobby renovation	Site	07/12/26	Q1 2025	$899,000	$256,468	Bidding
Amenity renovation	Life Safety	07/10/25	Q3 2026	$822,000	$666,748	Deferred
Fire alarm panel upgrade	Site	08/05/25	Q2 2026	$82,000	$11,539	In progress
ADA compliance	Life Safety	06/19/24	Q4 2025	$12,000	$5,799	Bidding
Pool resurfacing	Site	05/10/25	Q4 2025	$872,000	$895,820	Deferred
Fence replacement	Interior	12/19/26	Q1 2027	$424,000	$189,165	Deferred
Water heater replacement	Site	10/29/25	Q1 2025	$47,000	$22,365	Deferred
Storefront glazing	Interior	09/19/23	Q3 2026	$347,000	$144,009	Complete
Signage / monument	Life Safety	09/03/23	Q4 2026	$518,000	$477,012	In progress
Unit interior upgrades	Site	03/04/23	Q4 2026	$110,000	$21,851	Deferred
Parking lot resurfacing	Energy	06/16/24	Q2 2027	$202,000	$34,900	In progress
LED lighting retrofit	Interior	05/18/26	Q1 2026	$713,000	$538,450	In progress
Storefront glazing	Interior	10/15/24	Q1 2027	$617,000	$78,904	In progress
Lobby renovation	Energy	05/27/26	Q1 2025	$882,000	$647,687	Bidding
Parking lot resurfacing	Life Safety	02/15/26	Q1 2025	$59,000	$18,144	Complete
Parking lot resurfacing	Building	10/30/23	Q1 2026	$258,000	$103,172	Deferred
Signage / monument	Interior	10/23/25	Q1 2025	$24,000	$21,038	In progress
Storefront glazing	Interior	07/30/24	Q4 2027	$230,000	$215,409	Complete
Roof replacement - Bldg B	Energy	08/20/23	Q1 2026	$113,000	$115,115	In progress
Water heater replacement	Energy	12/16/23	Q3 2025	$454,000	$257,990	Deferred
Exterior paint	Life Safety	08/08/26	Q2 2025	$301,000	$89,048	Approved
Parking lot resurfacing	Energy	11/11/25	Q4 2026	$255,000	$257,599	Deferred
Unit interior upgrades	Site	09/30/25	Q2 2025	$646,000	$24,596	Complete
Fence replacement	Interior	05/06/25	Q4 2025	$845,000	$20,363	Approved
Fire alarm panel upgrade	Life Safety	10/11/26	Q1 2025	$17,000	$16,454	In progress
Fence replacement	Site	01/16/23	Q1 2027	$716,000	$325,885	Bidding
Unit interior upgrades	Interior	05/24/25	Q3 2025	$107,000	$61,622	Complete
Exterior paint	Life Safety	03/19/23	Q4 2026	$300,000	$66,226	Deferred
HVAC replacement	Energy	03/29/25	Q4 2027	$163,000	$157,029	Complete
LED lighting retrofit	Energy	02/28/24	Q1 2027	$407,000	$123,352	In progress
Security camera upgrade	Energy	11/30/26	Q3 2026	$374,000	$359,919	Deferred
Water heater replacement	Interior	09/20/26	Q4 2025	$511,000	$419,738	In progress
Exterior paint	Building	10/13/23	Q4 2026	$318,000	$293,885	Deferred
Lobby renovation	Site	11/02/25	Q4 2026	$765,000	$185,410	Complete
Fire alarm panel upgrade	Life Safety	08/15/25	Q3 2026	$159,000	$81,441	Deferred
Fence replacement	Site	12/15/24	Q3 2027	$211,000	$145,219	Deferred
Door hardware	Life Safety	07/04/26	Q1 2027	$793,000	$31,164	Approved
ADA compliance	Energy	05/28/23	Q4 2025	$842,000	$592,514	Approved
Roof replacement - Bldg D	Building	02/28/23	Q2 2025	$102,000	$3,319	Approved

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Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $71,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $370,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 6 years ago and are operating without deficiency.

Investor Distributions

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Average rent is $17 per square foot with parking at a ratio of 47 spaces per 1,000 square feet.

Average rent is $17 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $347,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $342,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Projected levered IRR is 4.5% with an equity multiple of 1.18x over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $17 per square foot with parking at a ratio of 2 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $32,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Site	07/10/26	Q4 2026	$102,000	$84,942	In progress
Fence replacement	Building	06/02/23	Q3 2027	$89,000	$74,337	In progress
Pool resurfacing	Energy	08/10/23	Q2 2025	$365,000	$181,755	Bidding
Sewer line repair	Building	04/06/23	Q2 2025	$671,000	$659,356	Complete
Exterior paint	Energy	09/19/24	Q4 2026	$880,000	$47,096	Approved
Sewer line repair	Life Safety	01/27/23	Q1 2027	$162,000	$68,599	Bidding
Security camera upgrade	Energy	05/13/23	Q3 2026	$94,000	$82,601	In progress
Amenity renovation	Interior	03/20/23	Q4 2025	$637,000	$255,079	Deferred
Signage / monument	Site	11/24/24	Q2 2025	$253,000	$29,338	Bidding
HVAC replacement	Energy	06/07/24	Q3 2027	$681,000	$13,244	Bidding
LED lighting retrofit	Site	12/23/25	Q4 2026	$119,000	$17,922	Complete
HVAC replacement	Building	11/02/26	Q4 2027	$680,000	$119,496	Complete
LED lighting retrofit	Site	12/02/23	Q2 2026	$578,000	$441,827	Approved
Fire alarm panel upgrade	Building	06/03/24	Q4 2026	$805,000	$775,581	Complete
Door hardware	Life Safety	09/09/24	Q1 2025	$514,000	$411,504	In progress
Exterior paint	Building	09/25/26	Q3 2027	$872,000	$456,101	Bidding
Storefront glazing	Interior	08/07/24	Q2 2025	$55,000	$38,475	In progress
Unit interior upgrades	Interior	03/13/23	Q2 2026	$566,000	$420,222	Bidding
HVAC replacement	Site	05/26/25	Q4 2026	$122,000	$27,424	In progress
Security camera upgrade	Energy	04/29/24	Q2 2027	$59,000	$28,997	Complete
Elevator modernization	Site	06/16/23	Q2 2026	$774,000	$238,408	Approved
Sewer line repair	Interior	05/27/24	Q2 2025	$240,000	$159,492	Approved
Security camera upgrade	Site	08/29/25	Q3 2027	$861,000	$166,495	Complete
Parking lot resurfacing	Interior	12/01/26	Q3 2027	$660,000	$543,041	Complete
Exterior paint	Life Safety	11/28/26	Q1 2027	$363,000	$213,317	In progress
Fence replacement	Energy	02/12/23	Q2 2025	$253,000	$168,919	In progress
Amenity renovation	Life Safety	11/03/23	Q4 2027	$827,000	$700,751	Deferred
Exterior paint	Site	12/03/24	Q2 2025	$391,000	$233,698	Bidding
Fire alarm panel upgrade	Site	01/15/23	Q2 2025	$415,000	$169,873	Bidding
Fire alarm panel upgrade	Energy	01/20/25	Q2 2025	$148,000	$144,021	In progress
Exterior paint	Building	09/19/24	Q2 2027	$786,000	$42,400	Complete
Landscape / irrigation	Life Safety	03/20/26	Q3 2027	$304,000	$150,277	Approved
Storefront glazing	Site	05/16/23	Q2 2025	$572,000	$54,102	In progress
Storefront glazing	Life Safety	08/21/24	Q1 2027	$420,000	$409,485	In progress
Elevator modernization	Energy	10/11/24	Q1 2027	$143,000	$59,031	Bidding
Sewer line repair	Site	02/09/25	Q4 2026	$383,000	$236,941	Approved
Fire alarm panel upgrade	Building	01/16/26	Q2 2027	$319,000	$171,570	Complete
Parking lot resurfacing	Building	01/16/24	Q2 2025	$204,000	$91,976	Bidding
Landscape / irrigation	Life Safety	03/27/25	Q3 2027	$63,000	$33,860	Approved
Unit interior upgrades	Life Safety	01/09/25	Q4 2027	$227,000	$149,629	Approved
Fire alarm panel upgrade	Site	03/12/25	Q2 2026	$424,000	$31,683	Approved
Roof replacement - Bldg D	Building	08/10/23	Q3 2025	$857,000	$459,613	Approved
Signage / monument	Energy	08/28/25	Q1 2027	$429,000	$184,820	Deferred

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Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $17 per square foot with parking at a ratio of 35 spaces per 1,000 square feet.

Observed Conditions

Elevators were last modernized 12 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $13,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $94,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. Projected levered IRR is 14.0% with an equity multiple of 1.37x over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $144,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 11 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Interior	02/04/26	Q2 2026	$306,000	$176,245	Deferred
Parking lot resurfacing	Building	01/27/26	Q1 2025	$207,000	$30,816	Approved
Amenity renovation	Building	04/16/26	Q4 2026	$792,000	$535,155	Deferred
Roof replacement - Bldg B	Building	02/08/25	Q2 2025	$603,000	$111,629	Complete
Amenity renovation	Energy	04/19/25	Q1 2026	$262,000	$99,251	Approved
LED lighting retrofit	Interior	01/12/25	Q3 2027	$397,000	$3,036	Bidding
Storefront glazing	Building	08/19/24	Q1 2026	$580,000	$489,905	Bidding
HVAC replacement	Life Safety	01/31/26	Q2 2025	$815,000	$124,375	Approved
Pool resurfacing	Energy	05/02/23	Q4 2025	$272,000	$415	Deferred
Amenity renovation	Life Safety	08/20/23	Q4 2025	$30,000	$16,224	Approved
Fire alarm panel upgrade	Site	08/09/24	Q1 2027	$130,000	$34,037	Approved
Sewer line repair	Energy	07/21/26	Q1 2027	$322,000	$122,691	Complete
Storefront glazing	Building	10/09/26	Q3 2027	$25,000	$1,356	Approved
Fence replacement	Life Safety	06/28/23	Q4 2026	$589,000	$2,535	Bidding
Storefront glazing	Life Safety	07/01/24	Q1 2025	$38,000	$31,689	Approved
Security camera upgrade	Life Safety	11/23/23	Q3 2026	$47,000	$34,991	Approved
ADA compliance	Life Safety	08/28/26	Q3 2027	$562,000	$535,469	Complete
Signage / monument	Site	09/30/26	Q2 2025	$442,000	$405,926	In progress
Unit interior upgrades	Interior	09/10/26	Q1 2027	$808,000	$360,066	Complete
Elevator modernization	Life Safety	12/18/23	Q3 2027	$372,000	$186,080	Approved
Water heater replacement	Interior	05/17/24	Q2 2026	$174,000	$28,872	Bidding
Water heater replacement	Building	09/19/24	Q3 2025	$450,000	$66,709	Approved
LED lighting retrofit	Building	03/27/26	Q4 2027	$189,000	$107,469	Complete
Signage / monument	Building	04/10/25	Q1 2027	$700,000	$189,320	Approved
LED lighting retrofit	Interior	05/25/26	Q2 2025	$191,000	$120,166	Bidding
Storefront glazing	Site	05/27/25	Q3 2025	$892,000	$891,946	Approved
Landscape / irrigation	Building	01/03/23	Q4 2027	$816,000	$545,665	Deferred
Fence replacement	Life Safety	06/26/24	Q3 2027	$626,000	$587,424	In progress
Exterior paint	Interior	05/27/24	Q1 2025	$254,000	$90,806	Bidding
Fence replacement	Life Safety	10/21/26	Q3 2027	$150,000	$58,565	Deferred
HVAC replacement	Site	09/05/25	Q4 2025	$388,000	$222,004	Complete
Door hardware	Energy	10/06/23	Q2 2025	$598,000	$111,422	Complete
Security camera upgrade	Site	08/20/23	Q1 2027	$558,000	$24,253	Complete
ADA compliance	Interior	02/19/23	Q3 2027	$634,000	$604,659	In progress
Security camera upgrade	Site	01/15/26	Q1 2025	$580,000	$230,102	Approved
Landscape / irrigation	Interior	03/14/24	Q1 2026	$160,000	$28,513	Bidding
Roof replacement - Bldg A	Building	10/23/26	Q3 2026	$648,000	$204,625	Deferred
Exterior paint	Energy	03/26/23	Q1 2025	$667,000	$573,556	Deferred
Roof replacement - Bldg C	Building	04/13/23	Q4 2025	$732,000	$572,550	Approved
Storefront glazing	Energy	12/31/24	Q3 2025	$852,000	$792,053	Bidding
Fire alarm panel upgrade	Life Safety	08/06/24	Q4 2025	$151,000	$86,802	Approved

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Recommendations

Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $231,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investor Distributions

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.5% with an equity multiple of 1.34x over the hold period.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $266,000.

Investor Distributions

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $17 per square foot with parking at a ratio of 17 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Average rent is $17 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. Projected levered IRR is 8.5% with an equity multiple of 1.20x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 8 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 8 years ago and are operating without deficiency.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg B	Energy	06/01/26	Q1 2026	$221,000	$207,819	Complete
Signage / monument	Life Safety	10/31/26	Q1 2026	$375,000	$384,312	Deferred
Landscape / irrigation	Energy	01/05/25	Q2 2026	$190,000	$181,086	Complete
Parking lot resurfacing	Energy	06/25/23	Q3 2025	$535,000	$514,725	Complete
Pool resurfacing	Site	04/07/26	Q1 2025	$138,000	$83,995	Deferred
Landscape / irrigation	Energy	03/03/24	Q1 2025	$102,000	$6,299	Deferred
HVAC replacement	Site	03/24/26	Q1 2026	$211,000	$214,726	Approved
Sewer line repair	Energy	04/04/23	Q1 2025	$530,000	$348,194	Deferred
Sewer line repair	Site	01/02/26	Q2 2025	$884,000	$880,271	Complete
Pool resurfacing	Building	10/04/25	Q3 2026	$833,000	$328,578	In progress
Security camera upgrade	Site	07/16/24	Q3 2026	$195,000	$5,131	Bidding
Pool resurfacing	Life Safety	12/02/24	Q3 2027	$210,000	$206,426	Complete
Sewer line repair	Life Safety	05/04/23	Q4 2025	$190,000	$23,541	Complete
LED lighting retrofit	Building	02/11/23	Q4 2027	$295,000	$22,148	Complete
Unit interior upgrades	Life Safety	03/05/24	Q1 2025	$354,000	$241,063	Deferred
Door hardware	Building	09/06/24	Q1 2027	$567,000	$577,049	Deferred
Unit interior upgrades	Energy	01/29/25	Q1 2027	$174,000	$167,288	Deferred
LED lighting retrofit	Site	07/09/25	Q2 2026	$798,000	$583,781	Deferred
Parking lot resurfacing	Site	12/09/23	Q4 2027	$36,000	$36,796	Approved
Unit interior upgrades	Site	09/20/23	Q2 2026	$834,000	$346,270	In progress
ADA compliance	Life Safety	03/07/26	Q4 2027	$134,000	$69,575	In progress
Roof replacement - Bldg B	Interior	10/19/25	Q3 2025	$465,000	$44,971	Deferred
Unit interior upgrades	Energy	12/29/26	Q3 2027	$435,000	$375,483	Approved
Fire alarm panel upgrade	Life Safety	10/21/24	Q1 2026	$147,000	$71,237	Bidding
Fire alarm panel upgrade	Energy	02/25/26	Q4 2027	$756,000	$328,226	Deferred
Roof replacement - Bldg B	Building	11/14/23	Q3 2025	$141,000	$88,746	Bidding
HVAC replacement	Life Safety	08/02/26	Q1 2025	$72,000	$32,127	Bidding
Unit interior upgrades	Energy	02/27/23	Q1 2025	$49,000	$22,792	Approved
Lobby renovation	Interior	08/05/23	Q2 2026	$793,000	$169,349	Bidding
Water heater replacement	Interior	01/20/25	Q4 2026	$804,000	$824,628	Approved
Unit interior upgrades	Energy	03/25/26	Q4 2027	$451,000	$337,776	Bidding
Fence replacement	Life Safety	08/26/23	Q3 2026	$858,000	$14,959	Deferred
Parking lot resurfacing	Site	09/24/24	Q4 2027	$484,000	$185,951	Bidding
Water heater replacement	Site	06/02/25	Q4 2027	$754,000	$602,240	Bidding
Fence replacement	Site	07/20/24	Q1 2025	$89,000	$30,240	Complete
LED lighting retrofit	Interior	02/05/26	Q1 2025	$392,000	$371,263	In progress
Roof replacement - Bldg B	Building	06/16/23	Q1 2026	$245,000	$203,475	Deferred
Amenity renovation	Building	12/03/23	Q1 2025	$49,000	$2,861	Bidding
Fence replacement	Life Safety	02/02/24	Q3 2027	$34,000	$5,243	Complete
Fence replacement	Interior	07/23/23	Q3 2027	$153,000	$100,860	Deferred
HVAC replacement	Interior	06/17/24	Q4 2026	$854,000	$279,596	Bidding

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Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 8 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $113,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months.

Risk Considerations

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Average rent is $17 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Average rent is $17 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $457,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $228,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months.

Business Plan Progress

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Projected levered IRR is 5.0% with an equity multiple of 1.27x over the hold period. Average rent is $17 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 12.1% with an equity multiple of 1.31x over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $310,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $32,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Building	10/25/25	Q1 2025	$299,000	$125,756	Bidding
Pool resurfacing	Interior	04/01/25	Q1 2026	$253,000	$2,624	Complete
Security camera upgrade	Building	10/23/26	Q2 2027	$507,000	$135,022	In progress
Fire alarm panel upgrade	Life Safety	06/17/24	Q2 2025	$248,000	$166,104	Approved
Amenity renovation	Energy	01/07/23	Q3 2027	$46,000	$28,404	In progress
Pool resurfacing	Life Safety	03/11/23	Q4 2026	$42,000	$9,317	In progress
Door hardware	Interior	02/15/26	Q4 2026	$825,000	$773,610	In progress
Exterior paint	Energy	02/15/25	Q1 2027	$814,000	$75,340	Deferred
Landscape / irrigation	Life Safety	10/02/24	Q4 2026	$584,000	$189,373	Deferred
Lobby renovation	Interior	02/21/25	Q3 2026	$611,000	$567,907	Deferred
Exterior paint	Building	04/14/23	Q2 2025	$328,000	$340,173	Bidding
Sewer line repair	Site	07/05/25	Q2 2027	$865,000	$293,843	Deferred
Pool resurfacing	Site	07/17/25	Q4 2027	$609,000	$137,713	Bidding
ADA compliance	Interior	09/05/23	Q2 2025	$506,000	$484,218	In progress
Fence replacement	Site	08/26/26	Q4 2027	$504,000	$257,810	Bidding
Signage / monument	Energy	10/05/26	Q4 2026	$673,000	$203,898	Bidding
ADA compliance	Energy	05/14/24	Q2 2026	$527,000	$515,962	Approved
Pool resurfacing	Site	08/11/25	Q1 2027	$724,000	$135,519	Bidding
Elevator modernization	Site	03/18/26	Q2 2027	$252,000	$264,568	Approved
Unit interior upgrades	Life Safety	06/28/23	Q4 2025	$666,000	$639,744	Complete
Sewer line repair	Energy	03/24/25	Q1 2025	$778,000	$562,018	Bidding
HVAC replacement	Building	02/28/25	Q4 2026	$390,000	$331,700	In progress
Water heater replacement	Building	05/06/26	Q3 2026	$111,000	$3,893	In progress
Parking lot resurfacing	Site	11/20/23	Q3 2025	$177,000	$11,800	Deferred
Parking lot resurfacing	Site	09/08/26	Q1 2026	$300,000	$80,707	Deferred
HVAC replacement	Building	02/27/25	Q3 2025	$371,000	$13,430	In progress
Signage / monument	Interior	07/09/25	Q1 2027	$258,000	$138,561	Bidding
Roof replacement - Bldg B	Site	02/05/26	Q1 2026	$155,000	$117,018	Deferred
LED lighting retrofit	Building	07/15/23	Q2 2027	$831,000	$19,293	Bidding
Water heater replacement	Building	07/12/23	Q2 2027	$859,000	$871,597	In progress
Storefront glazing	Interior	05/05/23	Q2 2026	$157,000	$126,944	Bidding
Sewer line repair	Building	10/07/26	Q4 2025	$179,000	$9,325	Complete
Sewer line repair	Life Safety	04/08/26	Q4 2026	$178,000	$147,559	Bidding
Sewer line repair	Building	02/04/25	Q4 2025	$722,000	$205,914	Complete
Door hardware	Life Safety	08/01/23	Q1 2025	$155,000	$102,743	Approved
Pool resurfacing	Interior	07/09/24	Q3 2025	$816,000	$491,821	In progress
Parking lot resurfacing	Energy	12/23/23	Q2 2026	$761,000	$47,301	Approved
HVAC replacement	Building	12/29/26	Q1 2027	$350,000	$578	In progress
LED lighting retrofit	Interior	09/16/24	Q1 2025	$82,000	$26,822	Deferred
Sewer line repair	Life Safety	11/14/26	Q2 2027	$633,000	$16,036	Deferred
Landscape / irrigation	Site	07/31/24	Q4 2025	$851,000	$410,113	Bidding
Roof replacement - Bldg C	Building	05/03/25	Q2 2027	$228,000	$148,807	Deferred

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Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $17,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $153,000.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. Projected levered IRR is 7.6% with an equity multiple of 1.19x over the hold period. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Projected levered IRR is 12.7% with an equity multiple of 1.28x over the hold period.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $288,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $257,000.

Business Plan Progress

Projected levered IRR is 10.4% with an equity multiple of 1.48x over the hold period. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $17 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Average rent is $17 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Projected levered IRR is 9.3% with an equity multiple of 1.23x over the hold period. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $402,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $127,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investor Distributions

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	12/09/23	Q2 2025	$715,000	$101,190	Bidding
HVAC replacement	Building	08/11/23	Q3 2026	$314,000	$326,828	Complete
Fence replacement	Life Safety	02/27/25	Q4 2027	$681,000	$430,108	Complete
Landscape / irrigation	Site	05/12/24	Q3 2025	$419,000	$354,904	In progress
Door hardware	Site	09/18/26	Q4 2026	$743,000	$619,908	Bidding
Sewer line repair	Building	01/11/23	Q3 2027	$526,000	$468,549	Approved
Signage / monument	Site	10/21/24	Q1 2027	$284,000	$94,918	Complete
Water heater replacement	Site	09/03/23	Q4 2027	$610,000	$210,687	Deferred
Elevator modernization	Building	10/11/26	Q1 2026	$184,000	$174,763	In progress
Lobby renovation	Site	01/02/23	Q3 2026	$773,000	$195,322	Bidding
ADA compliance	Life Safety	01/24/26	Q3 2025	$504,000	$39,454	Deferred
Signage / monument	Life Safety	09/16/25	Q4 2026	$162,000	$90,490	Approved
Fire alarm panel upgrade	Building	12/23/23	Q2 2026	$139,000	$131,520	Approved
Sewer line repair	Building	03/01/25	Q3 2026	$836,000	$12,275	In progress
Exterior paint	Interior	03/09/24	Q2 2027	$270,000	$19,977	Deferred
Roof replacement - Bldg D	Building	04/24/25	Q1 2026	$519,000	$381,612	Bidding
Door hardware	Interior	05/18/25	Q1 2027	$251,000	$214,247	In progress
Elevator modernization	Life Safety	05/21/25	Q3 2026	$39,000	$19,665	Bidding
Water heater replacement	Energy	01/01/23	Q3 2026	$486,000	$132,994	Bidding
Landscape / irrigation	Life Safety	09/11/26	Q1 2026	$758,000	$54,838	Deferred
Unit interior upgrades	Site	12/12/23	Q3 2026	$168,000	$8,491	Approved
Signage / monument	Building	12/28/25	Q1 2026	$98,000	$65,153	Approved
HVAC replacement	Building	09/24/26	Q3 2027	$726,000	$142,812	Complete
Fence replacement	Interior	09/07/25	Q3 2025	$381,000	$143,810	Bidding
Roof replacement - Bldg D	Energy	02/09/23	Q2 2027	$165,000	$60,270	Complete
ADA compliance	Energy	11/30/26	Q4 2026	$801,000	$36,526	Bidding
Storefront glazing	Energy	02/05/24	Q1 2027	$188,000	$101,458	Approved
Unit interior upgrades	Life Safety	04/22/25	Q1 2027	$701,000	$277,021	In progress
Fire alarm panel upgrade	Energy	07/22/23	Q2 2026	$360,000	$364,032	In progress
Signage / monument	Site	06/23/26	Q3 2027	$102,000	$59,140	Bidding
Signage / monument	Life Safety	04/21/23	Q2 2025	$690,000	$188,669	In progress
Fence replacement	Life Safety	08/15/24	Q3 2027	$155,000	$78,777	Deferred
Elevator modernization	Site	04/27/24	Q3 2025	$39,000	$24,292	Bidding
Signage / monument	Interior	11/07/26	Q2 2025	$464,000	$145,748	Deferred
Signage / monument	Building	10/26/24	Q4 2025	$41,000	$41,243	Bidding
Door hardware	Building	04/06/26	Q4 2027	$227,000	$145,140	Approved
Roof replacement - Bldg A	Interior	02/28/26	Q1 2027	$782,000	$644,159	Complete
Landscape / irrigation	Interior	05/31/26	Q3 2025	$208,000	$82,613	Approved
Landscape / irrigation	Site	02/22/23	Q2 2025	$264,000	$254,508	Bidding
Fence replacement	Energy	09/08/26	Q3 2025	$459,000	$147,011	Complete
Fire alarm panel upgrade	Building	05/29/23	Q1 2027	$845,000	$650,228	Complete
Amenity renovation	Interior	02/16/26	Q3 2026	$214,000	$208,825	Deferred

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Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Elevators were last modernized 9 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 8 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.4% with an equity multiple of 1.48x over the hold period. Average rent is $17 per square foot with parking at a ratio of 13 spaces per 1,000 square feet.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $267,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency.

Business Plan Progress

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. Projected levered IRR is 2.5% with an equity multiple of 1.28x over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $17 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.9% with an equity multiple of 1.11x over the hold period.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 11 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $75,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $394,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $17 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Site	09/04/24	Q3 2025	$365,000	$118,716	In progress
Lobby renovation	Energy	09/16/23	Q4 2027	$788,000	$313,941	In progress
LED lighting retrofit	Interior	10/17/25	Q3 2027	$48,000	$35,466	Approved
HVAC replacement	Energy	05/06/26	Q1 2025	$243,000	$150,633	Complete
Water heater replacement	Building	02/06/24	Q3 2027	$441,000	$283,986	In progress
Fire alarm panel upgrade	Life Safety	03/30/23	Q2 2026	$133,000	$81,647	Deferred
Fire alarm panel upgrade	Interior	09/22/26	Q2 2027	$126,000	$44,576	Approved
ADA compliance	Life Safety	09/21/24	Q4 2027	$298,000	$224,645	In progress
Lobby renovation	Energy	01/26/25	Q3 2025	$124,000	$64,028	Complete
Roof replacement - Bldg B	Building	12/07/23	Q1 2026	$514,000	$532,515	In progress
LED lighting retrofit	Building	03/23/24	Q3 2027	$286,000	$99,910	Complete
LED lighting retrofit	Building	12/18/24	Q3 2025	$331,000	$32,708	Approved
Sewer line repair	Interior	02/17/23	Q4 2027	$323,000	$84,222	Deferred
ADA compliance	Energy	12/05/23	Q1 2027	$288,000	$49,576	Bidding
Signage / monument	Interior	07/16/24	Q4 2026	$750,000	$575,852	Bidding
Lobby renovation	Life Safety	03/03/24	Q1 2027	$828,000	$201,381	Deferred
Lobby renovation	Building	10/25/25	Q4 2027	$804,000	$90,956	Complete
LED lighting retrofit	Life Safety	08/30/25	Q3 2026	$488,000	$4,356	In progress
Unit interior upgrades	Interior	05/06/26	Q2 2027	$831,000	$357,285	Complete
Landscape / irrigation	Site	02/01/26	Q4 2027	$528,000	$112,255	Bidding
Fence replacement	Energy	12/23/24	Q2 2026	$113,000	$38,127	Approved
ADA compliance	Life Safety	08/08/26	Q3 2027	$55,000	$52,912	Deferred
Pool resurfacing	Building	03/25/23	Q4 2026	$738,000	$122,813	Complete
Pool resurfacing	Building	08/27/23	Q1 2027	$328,000	$132,114	Complete
Storefront glazing	Interior	01/10/24	Q2 2025	$733,000	$667,636	Deferred
Amenity renovation	Life Safety	10/16/23	Q2 2026	$852,000	$485,545	Complete
Roof replacement - Bldg A	Site	04/10/24	Q4 2027	$539,000	$405,029	Bidding
Elevator modernization	Building	02/25/25	Q4 2026	$27,000	$20,346	Deferred
Signage / monument	Building	05/07/23	Q2 2026	$175,000	$165,156	Approved
Roof replacement - Bldg A	Interior	10/18/24	Q2 2026	$655,000	$456,112	Complete
Exterior paint	Energy	02/08/24	Q4 2025	$498,000	$291,215	Complete
Lobby renovation	Site	06/17/23	Q3 2027	$23,000	$12,285	Bidding
Landscape / irrigation	Energy	04/09/23	Q2 2025	$889,000	$699,796	Approved
Roof replacement - Bldg B	Site	11/26/23	Q3 2026	$671,000	$409,320	Approved
Exterior paint	Site	01/17/24	Q1 2025	$352,000	$171,244	Deferred
Sewer line repair	Building	06/27/25	Q1 2026	$375,000	$256,378	Deferred
Signage / monument	Life Safety	05/21/24	Q1 2025	$694,000	$481,572	Bidding
LED lighting retrofit	Site	01/01/24	Q4 2027	$493,000	$204,833	Complete
Lobby renovation	Interior	09/27/24	Q1 2025	$283,000	$126,574	In progress
Pool resurfacing	Building	09/05/25	Q1 2026	$643,000	$401,166	Deferred
Parking lot resurfacing	Energy	03/19/26	Q4 2027	$172,000	$153,570	In progress

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Summary and Notes

Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Operating expenses totaled $10,000 or approximately 41.48 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $229,000, representing a 12.5% increase over the prior year.

Operating expenses totaled $131,000 or approximately 23.49 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.03x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Effective gross income for the trailing period was $294,000, representing a 2.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Collections for the period were 89.4% of billed charges, with bad debt of 3.1% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 31 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 41 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Average rent is $17 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Collections for the period were 96.5% of billed charges, with bad debt of 5.8% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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